ANNUAL OPERATING BUDGET

Lockwood Eastlake Mixed-Use Center | Albuquerque, NM

Property	Lockwood Eastlake Mixed-Use Center
Fiscal Year	2020
Submitted By	Orion Commercial Management
Submitted	February 13, 2025

Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$295,869	$311,381	$325,305	$29,436	9.9%	$10,165.79
5010 Loss to Lease	$395,332	$365,524	$389,862	-$5,471	-1.4%	$12,183.19
5020 Vacancy Loss	$248,277	$230,544	$237,290	-$10,987	-4.4%	$7,415.32
5030 Concessions	$156,726	$161,884	$165,006	$8,280	5.3%	$5,156.44
5040 Bad Debt	$381,149	$399,547	$416,949	$35,801	9.4%	$13,029.67
5050 Late Fees	$244,910	$259,493	$263,512	$18,602	7.6%	$8,234.76
5060 Utility Reimbursements	$146,993	$151,804	$160,201	$13,208	9.0%	$5,006.29
5070 Parking Income	$369,061	$378,945	$398,955	$29,895	8.1%	$12,467.36
5080 Application Fees	$354,269	$362,231	$365,269	$11,001	3.1%	$11,414.66
5090 Pet Rent	$406,980	$393,618	$405,235	-$1,746	-0.4%	$12,663.58
5100 Laundry Income	$449,629	$437,350	$442,381	-$7,248	-1.6%	$13,824.42
5110 Cable/Internet Revenue	$381,421	$399,535	$421,509	$40,089	10.5%	$13,172.17
5120 CAM Reimbursements	$102,034	$109,938	$114,157	$12,123	11.9%	$3,567.41
5130 Tax Reimbursements	$276,939	$274,221	$286,855	$9,916	3.6%	$8,964.23
5140 Insurance Reimbursements	$23,991	$23,312	$24,846	$855	3.6%	$776.45
5150 Percentage Rent	$319,513	$310,298	$329,629	$10,116	3.2%	$10,300.90
5160 Misc. Income	$91,477	$88,327	$94,095	$2,618	2.9%	$2,940.45
5170 Payroll - Management	$305,122	$301,001	$304,518	-$604	-0.2%	$9,516.19
5180 Payroll - Leasing	$25,825	$27,311	$28,307	$2,482	9.6%	$884.59
5190 Payroll - Maintenance	$50,208	$49,913	$52,329	$2,121	4.2%	$1,635.29
5200 Payroll Taxes & Benefits	$57,370	$61,410	$63,260	$5,890	10.3%	$1,976.88
5210 Repairs - Plumbing	$415,009	$435,656	$459,247	$44,239	10.7%	$14,351.48

Report generated 02/13/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$300,936	$302,101	$322,932	$21,996	7.3%	$10,091.61
5430 Legal & Professional	$30,658	$30,155	$31,838	$1,180	3.8%	$994.93
5440 Accounting & Audit	$43,984	$41,875	$42,787	-$1,197	-2.7%	$1,337.10
5450 Licenses & Permits	$275,948	$263,929	$277,550	$1,601	0.6%	$8,673.43
5460 Management Fee	$209,964	$208,301	$219,308	$9,344	4.5%	$6,853.37
5470 Property Insurance	$358,643	$375,601	$381,706	$23,063	6.4%	$11,928.32
5480 Real Estate Taxes	$295,504	$288,841	$308,233	$12,730	4.3%	$9,632.29
5490 Asset Management Fee	$444,620	$478,248	$482,880	$38,260	8.6%	$15,089.99
5500 Replacement Reserves	$118,078	$117,398	$120,033	$1,956	1.7%	$3,751.05
5510 Roof Repairs	$223,267	$205,569	$208,623	-$14,644	-6.6%	$6,519.48
5520 Parking Lot Repairs	$109,482	$109,823	$114,899	$5,417	4.9%	$3,590.59
5530 Signage	$390,338	$419,463	$438,898	$48,560	12.4%	$13,715.55
5540 Tenant Improvements	$132,599	$141,426	$142,778	$10,179	7.7%	$4,461.82
5550 Leasing Commissions	$211,476	$221,028	$226,716	$15,241	7.2%	$7,084.88
5000 Gross Potential Rent	$366,551	$349,052	$350,487	-$16,064	-4.4%	$10,952.71
5010 Loss to Lease	$234,136	$234,986	$237,389	$3,252	1.4%	$7,418.39
5020 Vacancy Loss	$295,736	$316,711	$334,131	$38,395	13.0%	$10,441.59
5030 Concessions	$347,952	$330,447	$343,493	-$4,459	-1.3%	$10,734.17
5040 Bad Debt	$359,272	$354,022	$363,276	$4,004	1.1%	$11,352.39
5050 Late Fees	$367,876	$391,084	$405,407	$37,531	10.2%	$12,668.97
5060 Utility Reimbursements	$241,044	$257,585	$268,359	$27,315	11.3%	$8,386.22
5070 Parking Income	$298,700	$312,594	$331,135	$32,435	10.9%	$10,347.96
5080 Application Fees	$201,726	$212,593	$220,262	$18,536	9.2%	$6,883.18
5090 Pet Rent	$319,759	$304,585	$314,481	-$5,278	-1.7%	$9,827.53
5100 Laundry Income	$103,760	$99,230	$105,364	$1,604	1.5%	$3,292.61
5110 Cable/Internet Revenue	$400,647	$379,411	$392,873	-$7,774	-1.9%	$12,277.27
5120 CAM Reimbursements	$307,656	$330,819	$341,387	$33,731	11.0%	$10,668.34
5130 Tax Reimbursements	$26,260	$26,562	$26,791	$531	2.0%	$837.23
5140 Insurance Reimbursements	$314,603	$309,329	$319,857	$5,254	1.7%	$9,995.52
5150 Percentage Rent	$349,813	$365,295	$383,022	$33,209	9.5%	$11,969.44
5160 Misc. Income	$221,645	$236,541	$250,840	$29,194	13.2%	$7,838.75
5170 Payroll - Management	$430,199	$442,630	$445,204	$15,005	3.5%	$13,912.64
5180 Payroll - Leasing	$159,716	$150,580	$152,558	-$7,158	-4.5%	$4,767.43
5190 Payroll - Maintenance	$194,914	$191,853	$194,807	-$107	-0.1%	$6,087.71
5200 Payroll Taxes & Benefits	$426,923	$458,487	$476,770	$49,847	11.7%	$14,899.06
5210 Repairs - Plumbing	$306,417	$311,814	$329,894	$23,477	7.7%	$10,309.20
5220 Repairs - HVAC	$261,214	$242,867	$243,788	-$17,426	-6.7%	$7,618.38
5230 Repairs - Electrical	$354,027	$339,576	$358,319	$4,292	1.2%	$11,197.47
5240 Repairs - Appliances	$240,543	$227,460	$233,956	-$6,587	-2.7%	$7,311.12
5250 Painting & Decorating	$99,355	$100,412	$102,020	$2,665	2.7%	$3,188.12
5260 Flooring	$234,649	$242,095	$251,454	$16,805	7.2%	$7,857.93
5270 Make-Ready / Turnover	$313,589	$336,436	$353,025	$39,436	12.6%	$11,032.02

Report generated 02/13/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Operating Performance

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $346,000 or approximately 25.24 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.13% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $111,000, representing a 7.6% increase over the prior year. The property is walkable to transit, with 5 structured parking spaces shared between uses.

Debt service coverage ratio was 8.17x on a trailing basis against a covenant minimum of 1.20x. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is walkable to transit, with 21 structured parking spaces shared between uses.

Management Commentary

The property is walkable to transit, with 10 structured parking spaces shared between uses. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Service requests are tracked through a work-order system with an average completion time of 12 hours. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Income and Expense Review

The property is walkable to transit, with 42 structured parking spaces shared between uses. Effective gross income for the trailing period was $23,000, representing a 3.0% increase over the prior year. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Operating expenses totaled $46,000 or approximately 16.79 per square foot, with real estate taxes representing the largest line item. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $372,000 or approximately 22.61 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. The going-in capitalization rate of 7.15% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 33 hours. The property is walkable to transit, with 34 structured parking spaces shared between uses. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Collections for the period were 92.5% of billed charges, with bad debt of 6.5% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 29 additional team members.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$444,875	$439,757	$461,298	$16,423	3.7%	$14,415.55
5250 Painting & Decorating	$279,569	$287,465	$293,651	$14,083	5.0%	$9,176.60
5260 Flooring	$134,189	$123,911	$124,809	-$9,380	-7.0%	$3,900.28
5270 Make-Ready / Turnover	$98,766	$102,827	$104,836	$6,070	6.1%	$3,276.12
5280 Landscaping Contract	$261,141	$266,109	$266,447	$5,306	2.0%	$8,326.46
5290 Snow Removal	$412,929	$440,062	$452,962	$40,033	9.7%	$14,155.07
5300 Janitorial	$427,539	$414,018	$430,076	$2,537	0.6%	$13,439.89
5310 Pest Control	$227,994	$238,415	$243,986	$15,993	7.0%	$7,624.57
5320 Trash Removal	$198,141	$209,335	$215,050	$16,908	8.5%	$6,720.30
5330 Elevator Contract	$73,667	$68,599	$68,622	-$5,044	-6.8%	$2,144.44
5340 Fire & Life Safety	$439,742	$467,910	$491,182	$51,440	11.7%	$15,349.45
5350 Security	$193,117	$189,017	$196,242	$3,124	1.6%	$6,132.55
5360 Electricity - Common	$80,748	$85,569	$86,031	$5,282	6.5%	$2,688.46
5370 Gas - Common	$397,868	$416,238	$439,099	$41,231	10.4%	$13,721.86
5380 Water & Sewer	$234,704	$242,154	$243,870	$9,166	3.9%	$7,620.93
5390 Telephone/Internet	$266,747	$249,535	$260,161	-$6,586	-2.5%	$8,130.02
5400 Advertising	$276,728	$274,923	$288,776	$12,048	4.4%	$9,024.26
5410 Resident Events	$385,014	$393,792	$420,558	$35,545	9.2%	$13,142.44
5420 Office Supplies	$391,057	$359,948	$374,139	-$16,918	-4.3%	$11,691.84
5430 Legal & Professional	$33,704	$36,121	$38,164	$4,460	13.2%	$1,192.61
5440 Accounting & Audit	$49,456	$47,907	$49,850	$394	0.8%	$1,557.82
5450 Licenses & Permits	$344,060	$345,561	$354,188	$10,128	2.9%	$11,068.38
5460 Management Fee	$437,497	$430,773	$434,325	-$3,173	-0.7%	$13,572.65
5470 Property Insurance	$192,227	$184,586	$188,919	-$3,308	-1.7%	$5,903.72
5480 Real Estate Taxes	$279,598	$299,564	$303,546	$23,948	8.6%	$9,485.81
5490 Asset Management Fee	$380,424	$393,272	$393,762	$13,338	3.5%	$12,305.06
5500 Replacement Reserves	$292,888	$310,724	$311,898	$19,011	6.5%	$9,746.82
5510 Roof Repairs	$389,741	$400,673	$411,350	$21,609	5.5%	$12,854.69
5520 Parking Lot Repairs	$365,195	$374,797	$388,203	$23,008	6.3%	$12,131.34
5530 Signage	$257,570	$262,284	$263,914	$6,344	2.5%	$8,247.30
5540 Tenant Improvements	$422,468	$417,695	$442,036	$19,567	4.6%	$13,813.61
5550 Leasing Commissions	$47,868	$48,413	$48,746	$878	1.8%	$1,523.32
5000 Gross Potential Rent	$37,770	$36,655	$37,332	-$438	-1.2%	$1,166.61
5010 Loss to Lease	$139,965	$145,006	$154,516	$14,550	10.4%	$4,828.62
5020 Vacancy Loss	$413,335	$423,906	$445,850	$32,515	7.9%	$13,932.81
5030 Concessions	$117,413	$119,662	$125,574	$8,161	7.0%	$3,924.18
5040 Bad Debt	$265,535	$268,192	$282,879	$17,344	6.5%	$8,839.97
5050 Late Fees	$231,785	$213,388	$213,396	-$18,389	-7.9%	$6,668.63
5060 Utility Reimbursements	$37,903	$37,754	$39,765	$1,861	4.9%	$1,242.65
5070 Parking Income	$295,215	$293,151	$296,913	$1,698	0.6%	$9,278.53

Report generated 02/13/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Operating Performance

Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $21,000 or approximately 31.48 per square foot, with real estate taxes representing the largest line item. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The going-in capitalization rate of 6.67% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 25 structured parking spaces shared between uses. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period.

Leasing and Marketing

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Collections for the period were 90.9% of billed charges, with bad debt of 7.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The property is walkable to transit, with 24 structured parking spaces shared between uses. Service requests are tracked through a work-order system with an average completion time of 47 hours. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.02% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $250,000, representing a 10.4% increase over the prior year. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Operating expenses totaled $8,000 or approximately 12.66 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.10% reflects the in-place income and the stabilized occupancy assumption. The property is walkable to transit, with 40 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Effective gross income for the trailing period was $39,000, representing a 6.4% increase over the prior year.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 90.5% of billed charges, with bad debt of 5.4% of gross potential income. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Service requests are tracked through a work-order system with an average completion time of 26 hours.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5110 Cable/Internet Revenue	$58,404	$56,740	$60,272	$1,868	3.2%	$1,883.50
5120 CAM Reimbursements	$286,294	$305,830	$312,106	$25,812	9.0%	$9,753.31
5130 Tax Reimbursements	$275,356	$263,955	$271,543	-$3,813	-1.4%	$8,485.72
5140 Insurance Reimbursements	$296,941	$278,460	$281,084	-$15,857	-5.3%	$8,783.87
5150 Percentage Rent	$149,309	$142,993	$147,358	-$1,951	-1.3%	$4,604.94
5160 Misc. Income	$278,157	$259,003	$273,552	-$4,605	-1.7%	$8,548.51
5170 Payroll - Management	$36,236	$37,000	$38,312	$2,076	5.7%	$1,197.26
5180 Payroll - Leasing	$234,358	$243,088	$258,035	$23,677	10.1%	$8,063.60
5190 Payroll - Maintenance	$206,122	$219,798	$224,728	$18,606	9.0%	$7,022.76
5200 Payroll Taxes & Benefits	$207,254	$215,093	$216,240	$8,986	4.3%	$6,757.50
5210 Repairs - Plumbing	$46,582	$46,102	$47,321	$739	1.6%	$1,478.78
5220 Repairs - HVAC	$313,529	$322,797	$332,509	$18,980	6.1%	$10,390.90
5230 Repairs - Electrical	$349,976	$330,658	$337,040	-$12,937	-3.7%	$10,532.50
5240 Repairs - Appliances	$346,170	$333,300	$337,288	-$8,882	-2.6%	$10,540.26
5250 Painting & Decorating	$183,542	$183,970	$192,594	$9,051	4.9%	$6,018.55
5260 Flooring	$79,031	$84,078	$84,846	$5,815	7.4%	$2,651.44
5270 Make-Ready / Turnover	$101,206	$100,472	$107,388	$6,182	6.1%	$3,355.87
5280 Landscaping Contract	$402,673	$389,277	$408,563	$5,890	1.5%	$12,767.60
5290 Snow Removal	$447,859	$457,567	$481,318	$33,458	7.5%	$15,041.18
5300 Janitorial	$36,718	$38,297	$40,315	$3,597	9.8%	$1,259.84
5310 Pest Control	$424,132	$413,040	$416,861	-$7,271	-1.7%	$13,026.90
5320 Trash Removal	$402,828	$409,631	$429,828	$27,000	6.7%	$13,432.13
5330 Elevator Contract	$333,770	$340,853	$349,718	$15,949	4.8%	$10,928.70
5340 Fire & Life Safety	$342,162	$347,766	$358,116	$15,954	4.7%	$11,191.13
5350 Security	$83,183	$77,731	$80,575	-$2,608	-3.1%	$2,517.95
5360 Electricity - Common	$174,868	$179,681	$191,928	$17,060	9.8%	$5,997.76
5370 Gas - Common	$269,438	$289,228	$309,202	$39,764	14.8%	$9,662.56
5380 Water & Sewer	$394,325	$389,625	$391,269	-$3,055	-0.8%	$12,227.17
5390 Telephone/Internet	$144,323	$148,508	$153,933	$9,610	6.7%	$4,810.39
5400 Advertising	$116,839	$117,690	$119,676	$2,837	2.4%	$3,739.87
5410 Resident Events	$71,665	$69,200	$72,800	$1,135	1.6%	$2,274.99
5420 Office Supplies	$451,674	$437,142	$449,208	-$2,466	-0.5%	$14,037.76
5430 Legal & Professional	$85,556	$82,369	$86,802	$1,246	1.5%	$2,712.57
5440 Accounting & Audit	$294,226	$290,310	$301,644	$7,418	2.5%	$9,426.38
5450 Licenses & Permits	$423,825	$398,204	$409,967	-$13,858	-3.3%	$12,811.47
5460 Management Fee	$422,457	$402,728	$404,590	-$17,867	-4.2%	$12,643.42
5470 Property Insurance	$232,395	$225,142	$239,733	$7,338	3.2%	$7,491.65
5480 Real Estate Taxes	$68,124	$71,301	$71,715	$3,591	5.3%	$2,241.09
5490 Asset Management Fee	$259,811	$258,556	$267,607	$7,796	3.0%	$8,362.72
5500 Replacement Reserves	$145,885	$137,735	$143,540	-$2,345	-1.6%	$4,485.64
5510 Roof Repairs	$180,350	$176,723	$185,083	$4,733	2.6%	$5,783.84

Report generated 02/13/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 8.14x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $183,000 or approximately 23.23 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. Effective gross income for the trailing period was $69,000, representing a 4.6% increase over the prior year.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 42 structured parking spaces shared between uses. The going-in capitalization rate of 5.68% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $11,000 or approximately 24.59 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses.

Management Commentary

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day.

Financial Analysis

Debt service coverage ratio was 6.62x on a trailing basis against a covenant minimum of 1.20x. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Operating expenses totaled $54,000 or approximately 41.99 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The going-in capitalization rate of 8.09% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is walkable to transit, with 44 structured parking spaces shared between uses. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 29 hours. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Service requests are tracked through a work-order system with an average completion time of 37 hours. The property is walkable to transit, with 31 structured parking spaces shared between uses. The manager completes a monthly walk of the property and submits a variance report to the owner by the 18th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5040 Bad Debt	$360,303	$368,629	$381,358	$21,055	5.8%	$11,917.44
5050 Late Fees	$141,100	$152,370	$156,350	$15,250	10.8%	$4,885.94
5060 Utility Reimbursements	$277,524	$294,971	$313,109	$35,586	12.8%	$9,784.66
5070 Parking Income	$234,555	$241,859	$257,122	$22,566	9.6%	$8,035.05
5080 Application Fees	$41,567	$38,905	$41,095	-$473	-1.1%	$1,284.21
5090 Pet Rent	$284,209	$275,240	$281,159	-$3,051	-1.1%	$8,786.21
5100 Laundry Income	$191,576	$186,997	$194,985	$3,409	1.8%	$6,093.27
5110 Cable/Internet Revenue	$172,937	$168,567	$170,240	-$2,697	-1.6%	$5,320.00
5120 CAM Reimbursements	$433,093	$454,254	$468,250	$35,157	8.1%	$14,632.80
5130 Tax Reimbursements	$129,339	$120,320	$120,707	-$8,632	-6.7%	$3,772.08
5140 Insurance Reimbursements	$25,261	$25,147	$25,656	$395	1.6%	$801.73
5150 Percentage Rent	$261,660	$245,568	$255,889	-$5,772	-2.2%	$7,996.52
5160 Misc. Income	$304,085	$316,616	$326,180	$22,095	7.3%	$10,193.14
5170 Payroll - Management	$228,523	$222,837	$237,390	$8,867	3.9%	$7,418.44
5180 Payroll - Leasing	$317,485	$317,166	$335,782	$18,297	5.8%	$10,493.17
5190 Payroll - Maintenance	$120,707	$116,869	$120,413	-$294	-0.2%	$3,762.89
5200 Payroll Taxes & Benefits	$150,738	$145,989	$154,043	$3,305	2.2%	$4,813.84
5210 Repairs - Plumbing	$265,541	$246,067	$248,167	-$17,373	-6.5%	$7,755.23
5220 Repairs - HVAC	$169,041	$182,194	$183,603	$14,563	8.6%	$5,737.61
5230 Repairs - Electrical	$186,487	$175,516	$183,253	-$3,235	-1.7%	$5,726.64
5240 Repairs - Appliances	$170,147	$159,184	$169,542	-$605	-0.4%	$5,298.18
5250 Painting & Decorating	$106,986	$115,311	$118,628	$11,642	10.9%	$3,707.12
5260 Flooring	$263,045	$248,936	$265,582	$2,537	1.0%	$8,299.45
5270 Make-Ready / Turnover	$315,970	$325,762	$330,755	$14,785	4.7%	$10,336.09
5280 Landscaping Contract	$58,401	$57,737	$60,521	$2,120	3.6%	$1,891.28
5290 Snow Removal	$402,750	$409,297	$419,033	$16,283	4.0%	$13,094.79
5300 Janitorial	$31,397	$29,564	$31,204	-$194	-0.6%	$975.11
5310 Pest Control	$57,263	$58,986	$62,719	$5,456	9.5%	$1,959.96
5320 Trash Removal	$418,518	$413,604	$414,018	-$4,500	-1.1%	$12,938.06
5330 Elevator Contract	$187,162	$199,875	$206,223	$19,061	10.2%	$6,444.46
5340 Fire & Life Safety	$79,941	$81,056	$86,517	$6,577	8.2%	$2,703.66
5350 Security	$29,034	$27,682	$29,423	$388	1.3%	$919.47
5360 Electricity - Common	$451,395	$471,856	$478,750	$27,356	6.1%	$14,960.95
5370 Gas - Common	$409,420	$388,403	$411,128	$1,708	0.4%	$12,847.76
5380 Water & Sewer	$31,553	$33,847	$35,877	$4,324	13.7%	$1,121.16
5390 Telephone/Internet	$138,784	$131,519	$132,738	-$6,046	-4.4%	$4,148.07
5400 Advertising	$29,486	$27,187	$27,476	-$2,010	-6.8%	$858.63
5410 Resident Events	$367,626	$368,949	$389,519	$21,892	6.0%	$12,172.46
5420 Office Supplies	$294,458	$276,599	$287,661	-$6,797	-2.3%	$8,989.42
5430 Legal & Professional	$423,124	$451,944	$474,785	$51,661	12.2%	$14,837.02
5440 Accounting & Audit	$234,084	$217,261	$231,269	-$2,815	-1.2%	$7,227.16
5450 Licenses & Permits	$441,118	$409,530	$425,875	-$15,243	-3.5%	$13,308.61
5460 Management Fee	$37,732	$36,158	$38,320	$588	1.6%	$1,197.51

Report generated 02/13/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Summary and Notes

Financial Analysis

Effective gross income for the trailing period was $192,000, representing a 2.1% increase over the prior year. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 5.26x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period.

Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Debt service coverage ratio was 7.95x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Collections for the period were 93.6% of billed charges, with bad debt of 5.3% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 10 hours. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Service requests are tracked through a work-order system with an average completion time of 6 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only